

NORTHFIELD & VALE RETAIL GROUP

Sales & Marketing Performance Summary

Period: Q2 2024 (April-June) | Prepared by: Commercial Analytics Team | Date Issued: July 15,

2024

1. EXECUTIVE SUMMARY

Total net revenue for Q2 2024 reached \$48.3 million, a 7.2% increase year-over-year (Q2 2023: \$45.1 million) and a 3.4% increase quarter-over-quarter (Q1 2024: \$46.7 million). Growth was led by the Home & Kitchen product line, which benefited from a strong Mother's Day promotional campaign, while Electronics & Accessories growth moderated due to softer demand following the Q1 launch cycle.

2. REVENUE BY PRODUCT LINE

- Home & Kitchen: \$19.8 million (41% of total), up 11.5% YoY
- Electronics & Accessories: \$16.2 million (34% of total), up 2.1% YoY
- Apparel & Footwear: \$12.3 million (25% of total), up 6.8% YoY

3. REVENUE BY CHANNEL

- In-store: \$29.0 million (60%)
- Online (direct-to-consumer): \$15.4 million (32%)
- Marketplace partners: \$3.9 million (8%)

Online channel growth outpaced in-store growth for the fourth consecutive quarter, with online revenue up 14.3% YoY compared to 4.1% YoY for in-store.

4. REGIONAL PERFORMANCE

- Northeast: \$14.1 million (29%)
- West: \$12.9 million (27%)
- South: \$11.6 million (24%)
- Midwest: \$9.7 million (20%)

The West region posted the strongest YoY growth at 9.8%, driven by three new store openings in the Denver and Phoenix metro areas during May.

5. MARKETING CAMPAIGN PERFORMANCE

5.1 Mother's Day Campaign (April 22 - May 12): Drove \$6.1 million in incremental Home & Kitchen revenue, with the HearthGlow Slow Cooker bundle as the top-performing SKU. Campaign ROI was 4.3x on media spend of \$1.42 million. 5.2 Early Summer Apparel Push (June 1-30): Generated \$2.8 million in incremental Apparel revenue, slightly below the \$3.2 million target, attributed in part to the StrideLine sizing issue reported by Customer Experience (see Q3 complaint summary for detail). 5.3 Email and loyalty-program engagement grew 8% quarter-over-quarter, with the loyalty program surpassing 2.1 million active members.

6. CUSTOMER METRICS

- Average order value (AOV): \$84.60, up from \$81.20 in Q1 2024.
- Repeat purchase rate (trailing 90 days): 38.4%
- New customer acquisitions: 214,000, up 5.6% YoY

7. OUTLOOK FOR Q3 2024

The Commercial Analytics team forecasts Q3 revenue of \$50-52 million, driven by the Fall Collection launch in Apparel & Footwear and continued online channel growth. Risks include potential softness in Electronics following a light new-product pipeline and the sizing-related return pressure flagged for the new StrideLine running shoe.

This summary is intended for internal distribution to the Executive Leadership Team, Category Management, and Marketing.